

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK EXPRESS (NORTH AMERICA) INC. - POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-17

Served: May 4, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTIONS TO COMPEL AND TO DISMISS

I. Introduction

A. Motions

On April 20, 2022, Respondents Ocean Network Express (North America), Inc. (“ONE NA”) and Ocean Network Express, PTE. LTD. (“ONE”) each moved separately to compel the Bureau of Enforcement (“BOE”) to respond to interrogatories and requests for admission (“ONE Motion to Compel” and “ONE NA Motion to Compel”).

On April 22, 2022, BOE filed a motion seeking to dismiss ONE NA without prejudice (“Motion to Dismiss”). On April 25, 2022, ONE NA filed a response to the motion to dismiss stating that if BOE’s motion to dismiss is granted, that ONE NA would withdraw its pending motion to compel. Also on April 25, 2022, BOE filed a response to ONE’s motion to compel (“BOE Opposition Compel”).

On April 26, 2022, BOE file a motion to compel discovery directed to ONE (“BOE Motion to Compel”). On May 2, 2022, ONE filed a response to BOE’s motion to compel (“ONE Opposition Compel”).

B. Relevant Law

On September 28, 2012, the Commission issued revised rules of practice and procedure which sought to “modernize and more closely conform them to the current version of the [Federal Rules of Civil Procedure] and to encourage focused and expeditious use and completion of discovery.” 77 Fed. Reg. 61519-61535 (FMC Docket 11-05). The 2012 revision of the Commission’s Rules imposed limitations on discovery and required initial disclosures and disclosures of expert reports. Most relevant to this proceeding, the new rule revised the scope of discovery, currently found at 502.141(e)(1), to mirror the language found in FRCP 26(b)(1). *Compare* 46 C.F.R. § 502.141(e)(1) (previously § 502.201(e)) *with* FRCP 26(b)(1).

The Commission's Rules describe the scope of discovery as follows:

Unless otherwise limited by the presiding officer, or as otherwise provided in this subpart, the scope of discovery is as follows: Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter. For good cause, the presiding officer may order discovery of any matter relevant to the subject matter involved in the action. Relevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence.

46 C.F.R. § 502.141(e)(1).

“A party seeking discovery bears the initial burden of demonstrating the requested discovery is relevant to its claim or defense.” *Lakeview Pharm. of Racine, Inc. v. Catamaran Corp.*, 2017 U.S. Dist. LEXIS 163624, at *12 (M.D. Pa. Sep. 28, 2017) (citations omitted); *Meijer, Inc. v. Warner Chilcott Holdings Co., III, Ltd.*, 245 F.R.D. 26, 30 (D.D.C. Sept. 21, 2007) (“Once a relevancy objection has been raised, the party seeking discovery must demonstrate that the information sought to be compelled is discoverable.”). While the requesting party bears the initial burden of demonstrating relevance, once that showing is made, the party resisting discovery bears the burden of demonstrating that the requests are irrelevant, or are overly broad, burdensome, or oppressive. *Royal Park Invs. SA/NV v. Deutsche Bank Nat'l Tr. Co.*, 2016 U.S. Dist. LEXIS 120131, at *22 (S.D.N.Y. Aug. 31, 2016) (citing *John Wiley & Sons Inc.*, 298 F.R.D. 184, 186 (S.D.N.Y. 2014)); see also *McConnell v. Canadian Pac. Realty Co.*, 280 F.R.D. 188, 193 (M.D. Pa. Nov. 14, 2011) (citing *In re Urethane Antitrust Litigation*, 261 F.R.D. 570, 573 (D. Kan. 2009)).

The Commission Rules allow the presiding officer to “limit the frequency or extent of discovery otherwise allowed by these rules.” 46 C.F.R. § 502.141(e)(2). “The Commission or presiding officer may, for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” 46 C.F.R. § 502.141(j)(1). “It is fundamental that the scope of discovery is not limitless and is restricted by the concepts of relevancy.” *American President Lines, Ltd. v. Cyprus Mines Corp. and Cyprus Minerals Co.*, Docket No. 91-27, 26 S.R.R. 1227, 1234 (FMC Jan. 31, 1994). In addition, pursuant to Commission Rules, “[a]fter making every reasonable effort to resolve discovery disputes, a party may request a conference or rulings from the presiding officer on such disputes.” 46 C.F.R. § 502.141(i)(2).

The Commission's Rule regarding the scope of interrogatories states:

An interrogatory may relate to any matter that may be inquired into under § 502.141(e) and (f). An interrogatory is not objectionable merely because it asks for an opinion or contention that relates to fact or the application of law to fact, but the presiding officer may order that the interrogatory need not be answered until designated discovery is complete, or until a prehearing conference or some other time.

46 C.F.R. § 502.145(a)(2). This language is consistent with FRCP 33(a)(2). Many courts encourage parties to use “‘contention’ interrogatories to seek the legal contentions made by opposing parties and the factual bases for those legal contentions. The purpose of contention interrogatories . . . is to give each party sufficient notice of the opposing party’s contentions at trial and an opportunity to respond to those contentions.” *Thorn EMI N. Am. v. Intel Corp.*, 936 F. Supp. 1186, 1191 (D. Del. Aug. 29, 1996).

Interrogatories “requesting ‘every fact’ in support of a party’s legal contentions are generally considered to be overly broad and unduly burdensome. A more reasonable request would be limited to the identification of the material or principle facts and documents supporting the legal contentions.” *Odyssea Stevedoring of Puerto Rico, Inc. v. Puerto Rico Ports Auth.*, Docket No. 02-08, 29 S.R.R. 1392, 1394 (ALJ Dec. 12, 2002) (citations omitted); *see also Hiskett v. Wal-Mart Stores, Inc.*, 180 F.R.D. 403, 404-405 (D. Kan. June 19, 1998). When responding to an interrogatory by identifying the records from which the answer may be derived or ascertained, “the records must be specified ‘in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained.’” *Rainbow Pioneer # 44-18-04A, Haw.-Nev. Inv. Corp.*, 711 F.2d 902, 906 (9th Cir. June 13, 1983).

Requests for admissions similarly allow questions regarding relevant factual and legal issues.

Starwood incorrectly implies that requests for admission must relate solely to facts and that legal opinions are more appropriately sought through contention interrogatories. To the contrary, in 1970, Rule 36 was amended to allow for requests applying law to fact. Fed. R. Civ. P. 36 advisory committee’s note. Even before the rule was amended, it was recognized that “an approach which makes the propriety of a request turn on analytical distinctions between ‘fact,’ on the one hand, and ‘opinion’ and ‘law’ on the other, thwarts the effective use of the admission procedure.” Ted Finman, *The Request for Admissions in Federal Civil Procedure*, 17 Yale L.J. 371, 412 (1962). Indeed, “an admission on a matter of opinion may facilitate proof or narrow the issues or both.” 8A Charles Alan Wright & Arthur R. Miller, *Federal Practice and Procedure* § 2255 (2d ed. 1994). Of particular import to the present dispute, “[a]n admission of a matter involving the application of law to fact may, in a given case, even more clearly narrow the issues.” *Id.* A request for admission that relates to the interpretation of a contract at issue in a case involves the application of law to the unique facts of that case and, therefore, would be permissible under the amended Rule 36. *See Disability Rights Council v. Wash. Area Metro. Transit Auth.*, 234 F.R.D. 1, 3 (D.D.C. 2006); *Booth Oil Site Admin. Group v. Safety-Kleen Corp.*, 194 F.R.D. 76, 80 (W.D.N.Y. 2000) (“where the question of the meaning of the document is at issue in the case, a request directed to another party seeking admission or denial of a document’s meaning or intent by that party as stated in the request relates to a statement [of] fact, and it authorized by Rule 36”); *Diederich v. Dep’t of the Army*, 132 F.R.D. 614, 617 (S.D.N.Y. 1990) (“objections that documents . . . ‘speak for themselves’ . . . are improper”). “Even if the meaning of a document or the intent of the parties as to a contractual provision is the issue ultimately to be decided, such questions do

not raise a valid objection to a request to admit a party's understanding of a document's meaning or the intent of the parties as otherwise a party that does not intend to dispute such matters could refuse to answer thus requiring needless proof." *Booth Oil Site Admin. Group*, 194 F.R.D. at 80. Accordingly, under the facts of this case, it would be permissible for plaintiff to propound requests for admission relating to Starwood's interpretation of its management contract with Cassidy & Pinkard and parking services agreement with Standard Parking.

Sigmund v. Starwood Urban Retail VI, LLC, 236 F.R.D. 43, 46 (D.D.C. June 6, 2006).

II. ONE Motion to Compel

ONE asserts that BOE failed to respond to 22 specific interrogatories and 17 requests for admission, arguing that BOE does not provide a meaningful answer or seeks to improperly raise a work product objection. BOE asserts that it has supplemented its responses and continues to search for potentially responsive information and that "ONE PTE is using the discovery process to make legal arguments, have BOE concede ONE PTE's view of the facts and case law, and impermissibly obtain protected classes of information." BOE Opposition Compel at 1-2.

A review of the interrogatories at issue shows that BOE objected that the request was premature and impermissibly sought counsel's mental impressions, case strategy, and work product, however, BOE also stated that it would supplement. A review of the requests for admissions at issue shows that BOE stated a lack of knowledge or information, it "made a reasonable inquiry and the information it knows is insufficient to enable it to admit or deny," and BOE raised a variety of objections. See Motion to Compel Appendix A.

The Commission's rules explicitly allow parties to ask for an opinion or contention that relates to fact or the application of law to fact. 46 C.F.R. § 502.145(a)(2), 502.147(a)(1). ONE is entitled to know the principal or material facts and documents which support the allegations in the Order of Investigation and Hearing. Moreover, contention interrogatories and request for admissions are a useful way to narrow the issues and provide notice of the opposing party's contentions. Given that the discovery period has ended, there is no reason to delay the responses.

Accordingly, ONE's motion to compel is granted and BOE shall supplement their responses to respond to the contentions raised and to provide the principal or material facts requested in ONE's interrogatories and requests for admission. All deadlines in the current schedule will be extended to permit BOE to provide responses. Failure to disclose may result in allegations being stricken or evidence being excluded. Any additional concerns about discovery may be raised in the parties' briefs. No additional motions regarding discovery will be permitted as they would exceed the time permitted for resolution of this proceeding.

III. BOE Motion to Compel

BOE asserts that ONE failed to respond completely to 14 specific interrogatories, eight requests for admission, and four requests for production of document, arguing that "Respondent stonewalls and prevent[s] BOE from understanding how the carrier conducts its business" and that "[f]ailure of Respondent to answer the interrogatory frustrates the Commission's ability to

determine if the claims of unlawful activity alleged in the notice of investigation are true.” BOE Motion to Compel at 2-3.

ONE contends that BOE’s motion is moot because ONE supplemented its responses and because the discovery period is over; BOE’s motion is procedurally and substantively deficient; and that BOE has not established that any missing information is relevant. ONE Opposition Compel at 1-7.

Both motions to compel were filed prior to the expiration of the discovery period, which has been shortened in this expedited proceeding. Therefore, they are timely. However, because they were filed late in the discovery period, they will delay the proceeding. In addition, ONE asserts that it supplemented its responses on April 28, 2022, during the discovery period but after BOE’s motion was filed. ONE Opposition Compel at 2.

Unlike BOE’s responses to requests for admissions, ONE responds to all of the requests for admission at issue. A comparison of responses is illustrative.

ONE Request for Admission 42. The Commission has allowed agents, in settlement or otherwise, to be deemed liable for the obligations of their principals.

ANSWER: Lack of knowledge or information. BOE has made a reasonable inquiry and the information it knows is insufficient to enable it to admit or deny. BOE denies and objects to the question as vague and overly broad to make any meaningful determination. BOE denies and objects to the question as argumentative and asking for a legal conclusion.

BOE Request for Admission 31. In the Texas Litigation, ONE did not define its role and business relationship with respect to ONE NA.

ANSWER: Objection. ONE objects to this request as overly broad, vague, and ambiguous to the extent that the term “define,” “role,” and “[“]business relationship” are not specifically defined and are subject to multiple interpretations. ONE further objects to the extent this request is not reasonably tailored to lead to the discovery of admissible evidence or otherwise narrow contested issues of fact.

Subject to and without waiving the foregoing objections, denied in part and admitted in part. ONE admits it did not state the rules or relationship between itself and ONE NA in its pleadings filed in the Texas Litigation. However, the relationship may have been discussed generally amongst counsel for ONE and the other parties in the Texas Litigation in connection with negotiating the joint stipulated dismissal of ONE NA.

ONE Motion to Compel, Appendix A at 8; BOE Motion to Compel, Exhibit 2 at 4-5.

Similarly, for the interrogatories, ONE provides substantive responses for all but two questions. A comparison of responses is illustrative.

ONE Interrogatory 38: Identify the number of violations BOE contends ONE committed for purposes of this proceeding, including an explanation of the methodology by which BOE calculated that number.

ANSWER: BOE objects to this interrogatory as premature and impermissibly seeking counsel's mental impressions, case strategy and work product. Subject to and without waiving the foregoing objections, BOE will supplement in accordance with 46 C.F.R. §502.141 and the Presiding Officer's scheduling order, as required.

BOE Interrogatory 4. Identify all shipments from 2018 through present whereby ONE sought to collect freight and/or surcharges (including detention and/or demurrage) against any person or entity pursuant to the following phrase of ONE's definition of merchant in ONE's bill of lading: "...anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders."

ANSWER: Objection. ONE objects to the definitions of "collect" as used by BOE in these requests. Specifically, BOE's definition of "collect" is overly broad to the extent it includes activities which more reasonably are related to the investigation and development of a claim for freight and/or surcharges. ONE further objects to this request as overly broad, vague, and ambiguous to the extent that the term "surcharges" is not specifically defined and is subject to multiple interpretations. ONE further objects to this request as outside the permissible bounds of reasonable discovery to the extent it seeks admission regarding freight charges, which is not the subject of or otherwise relevant to the instant proceeding.

Subject to and without waiving the foregoing objections, ONE has not sought to collect freight and/or surcharges against a person pursuant to the portion of the "Merchant" definition quoted in this request, other than the two related shipments involved in the Texas Litigation under ONE bills of lading numbers ONEYSAOU24000400 and ONEYSAOU24596300.

ONE Motion to Compel, Appendix A at 6; BOE Motion to Compel, Exhibit 1 at 2.

ONE did not initially answer interrogatory number 14 regarding an officer who could explain ONE's organizational structure, functions, and policies, but offered to identify a responsive person if BOE defined the topics for which it sought information. BOE Motion to Compel, Exhibit 1 at 5. The question was broad and ONE's request was reasonable. ONE represents that BOE did better define its needs and that ONE supplemented its response. Therefore, the motion to compel a response to this interrogatory is moot.

ONE also does not answer interrogatory number 29, which asks about the type of bill of lading ONE issued relating to the subject shipments and whether the surrender of the original bill of lading was required for ONE to release the subject shipments. ONE objects to the request because it seeks information regarding matters other than the subject of the instant proceeding. BOE Motion to Compel, Exhibit 1 at 6. ONE argues that BOE does not address the relevance of this interrogatory in its motion and therefore it is abandoned. ONE Opposition Compel at 6.

BOE lists interrogatory 29 as one of the interrogatories to which it seeks to compel a response. It does not, however, directly discuss the request. BOE Motion to Compel at 3. BOE has not addressed why the information would be relevant to this proceeding and therefore ONE will not be compelled to provide a response.

BOE also requests the production of additional documents. ONE initially responded that it was willing to consider supplementing the response upon the entry of a mutually agreeable confidentiality agreement and/or protective order. BOE Motion to Compel, Exhibit 1 at 7. BOE argues that “BOE is not required to sign a broad confidentiality agreement to determine if the carrier even has the information that BOE seeks” and that ONE can petition for such an order. BOE Motion to Compel at 4. ONE responds that if ONE NA is dismissed, the document is no longer relevant. ONE Opposition Compel at 6-7.

Entry of a confidentiality agreement and protective order is a standard procedure regularly utilized in Commission proceedings. The Initial Order issued in this proceeding specifically states: “The parties may agree and stipulate between themselves regarding treatment of confidential documents and information obtained during discovery that is not filed with the Commission. The parties may, but are not required to, file a courtesy copy of the agreement with the Commission.” Such agreements are therefore required to be negotiated between the parties and failure to do so only delays the proceeding. Moreover, it appears that because ONE NA has been dismissed, this request is moot.

ONE provided substantive responses to discovery requests for all but a few questions which, it represents, have since been provided or are now moot. Accordingly, BOE’s motion to compel is denied.

IV. Order

Good cause having been stated, it is hereby **ORDERED** that BOE’s motion to dismiss ONE NA be **GRANTED** and ONE NA be **DISMISSED WITHOUT PREJUDICE**.

It is further **ORDERED** that ONE NA’s motion to compel be **DISMISSED AS MOOT**, as ONE NA is no longer a party. The proceeding will proceed against remaining Respondent Ocean Network Express, PTE. LTD.

It is further **ORDERED** that ONE’s motion to compel be **GRANTED**.

It is further **ORDERED** that BOE’s motion to compel be **DENIED**.

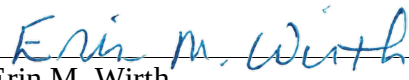
It is further **ORDERED** that the schedule be amended as follows:

May 10, 2022	BOE provide discovery as ordered above;
May 27, 2022	BOE and Respondents file initial brief, findings of fact, and appendix;
June 17, 2022	BOE and Respondents file opposition briefs and responses to findings of fact.

It is further **ORDERED** that the parties' briefs, proposed findings of fact, responses to proposed findings of fact, and appendices shall be in the following forms:

1. **[Party's] Brief.** Each party shall file a brief meeting the requirements of Commission Rule 214, 46 C.F.R. § 502.214, with the exception that the proposed findings of fact and responses to the proposed findings of fact shall not count toward the page limit found in Rule 214(e).
2. **[Party's] Proposed Findings of Fact.** This document, which may be part of the brief, shall set forth proposed findings of fact in numbered paragraphs. Each paragraph shall be limited as nearly as practicable to a single factual proposition. Each factual proposition shall be followed by an exact citation to a specific, unique page number in the appendix that the party contends will support the proposed finding of fact; e.g., a bates number in the appendix.
3. **[Party's] Responses to [Party's] Proposed Findings of Fact.** This document shall set forth verbatim each proposed finding of fact in another party's proposed findings of fact, then admit or deny the proposed finding. Each proposed finding of fact that an opposing party denies shall be followed by an exact citation to a specific, unique page number in the appendix that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact.
4. **[Party's] Appendix.** The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix—a separate document that collects one copy of all documents relevant to the proceeding.
 - a. The cover of the appendix shall identify the party or parties that prepared the appendix. The appendix must begin with a table of contents identifying the page at which each individual document begins;
 - b. Each page in the appendix shall be numbered sequentially, for example: BX 1, BX 2, or RX 1, RX 2, etc. Contact the Office of the Secretary if the appendix is too large to email;
 - c. The appendix must begin with a table of contents identifying the page at which each individual document begins and each exhibit should be clearly identified, for example by a cover sheet or bookmark;
 - d. Each party shall ensure that all documents in its appendix are legible and in English or include a verified translation as required by Rule 7 (see 502 C.F.R. § 502.7); and
 - e. The parties must cite to a document in an appendix already in the record rather than include the same document in its own appendix. For instance, if Respondent contends that a document included in Complainant's appendix rebuts the evidence Complainant claims supports a proposed finding of fact, Respondents shall cite to Complainant's appendix rather than include a second copy of the same document in its appendix.

All filings should be sent to the Office of the Secretary in PDF with opposing parties and judges@fmc.gov copied. The parties shall send a courtesy copy of their Briefs, Proposed Findings of Fact, and Responses to Proposed Findings of Fact in a word-processing format (such as Word) to the Office of Administrative Law Judges at judges@fmc.gov with the other party copied. Word processing versions should not be submitted to the Office of the Secretary.



Erin M. Wirth
Chief Administrative Law Judge